

Selling Short — It's Not Un-American *Martin E. Zweig*

No discussion about making money in the stock market would be complete without some attention to short selling, a subject that many traders do not truly understand. The idea in short selling is simple — you're betting that a certain stock will go down. So you sell it now and hope you can buy it back later at a lower price. When you think about it, *this is similar to any transaction where you try to buy at a lower price than you sell. The only difference in this case is just that you're selling first.*

Technically, when you sell short you borrow the securities from a brokerage house and sell them in the market. You owe the broker these securities. For collateral, you deposit a certain amount of required cash with that broker. Since he knows that there's enough money to repurchase the securities if necessary, there is no time limit. Don't be concerned about that old saying, "He who sells what isn't his'n must buy it back or go to prison." But, sooner or later, all shorts are covered or bought back.

There are at least two good reasons for selling short. If you think it's a bear market or that a particular stock is on the skids, you can garner good profits by selling short. You may also want to sell short to hedge your portfolio. Let's say you have a \$100,000 portfolio. You think the market